

SESSION 1

The Investment Environment

Why markets exist · How investors think · Can anyone beat the market?

Why Do Financial Markets Exist?

If NSE and BSE disappear tomorrow morning — what happens to India's economy?

Capital Raising

How will Tata, Infosys, or a new startup fund its expansion?

Pension Funds

LIC manages ₹42 lakh crore — where does it invest?

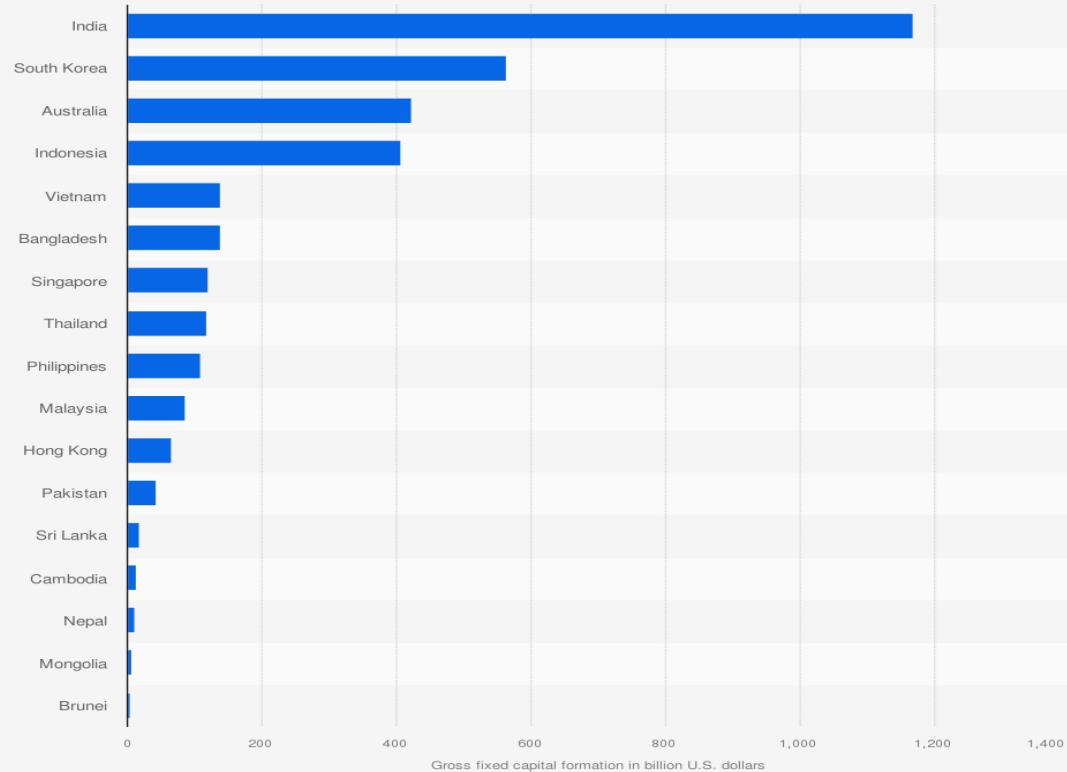
Price Discovery

Who determines the fair value of Reliance's shares?

Startup Ecosystem

EPFO's ₹1.6L cr equity exposure — where does it flow?

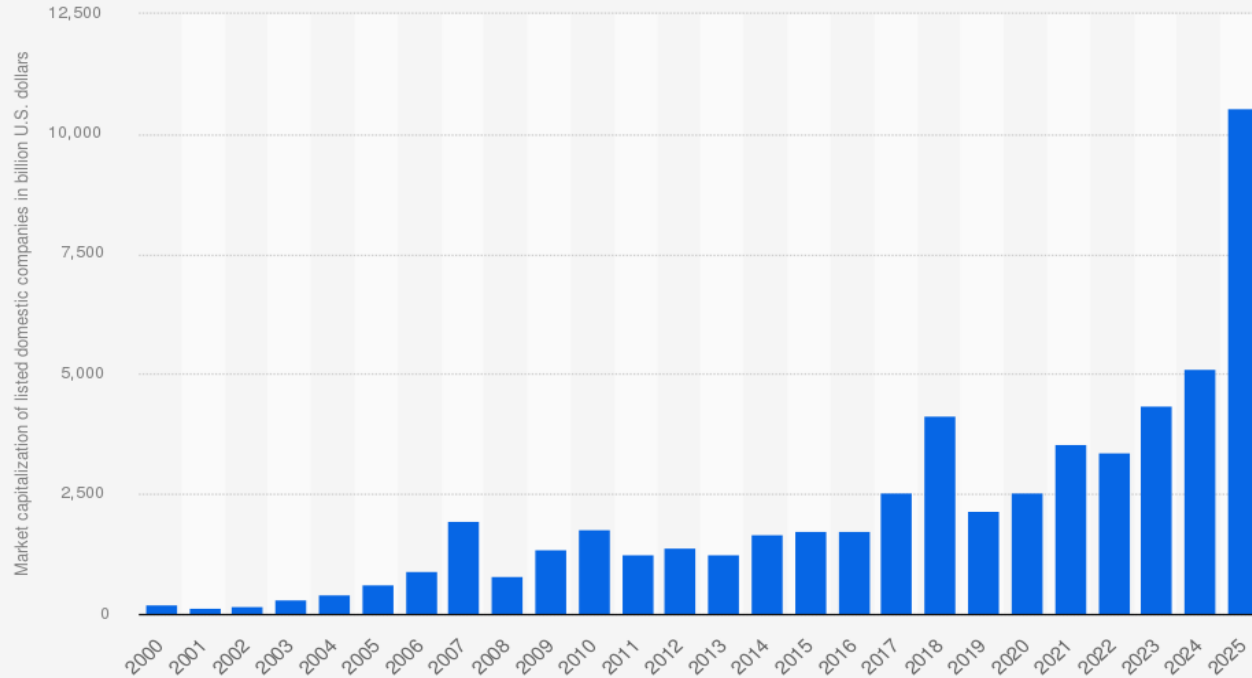
Gross fixed capital formation worldwide in 2024, by selected territory (in billion U.S. dollars)



Source
World Bank
© Statista 2026

Additional Information:
Asia; APAC; 2024

Market capitalization of listed domestic companies in India from 2000 to 2025 (in billion U.S. dollars)



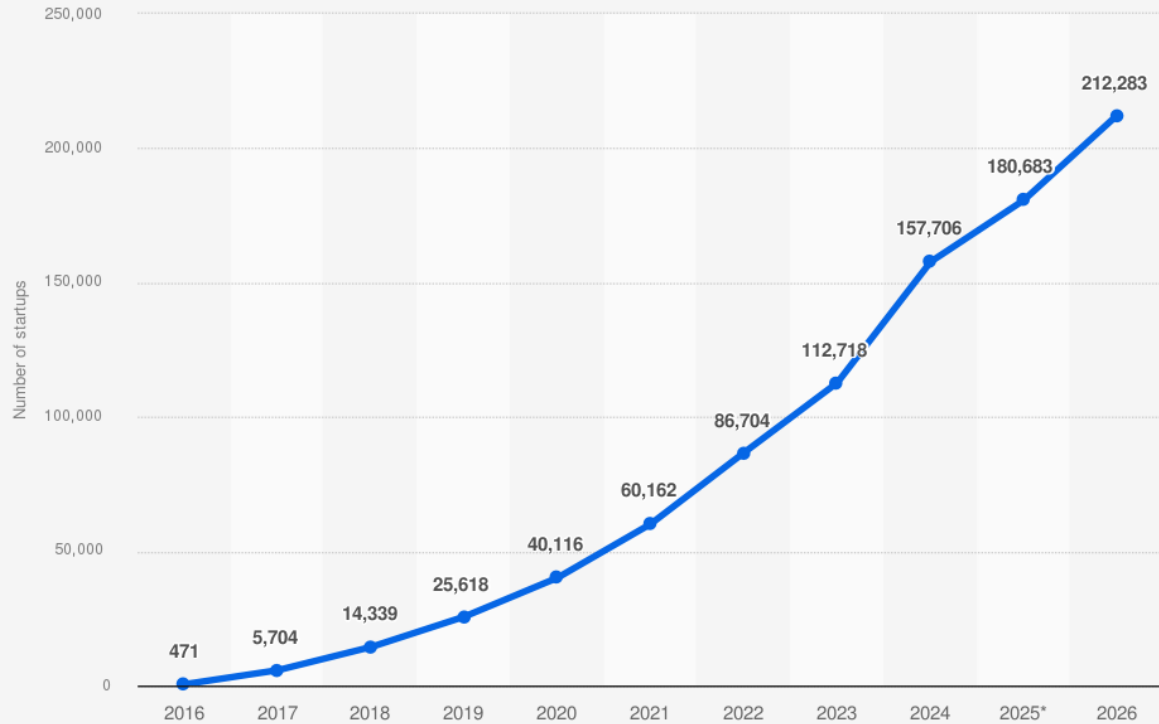
Sources

World Bank; WFE
© Statista 2026

Additional Information:

India; WFE; 2000 to 2025

Number of government recognized startups in India from 2016 to 2026

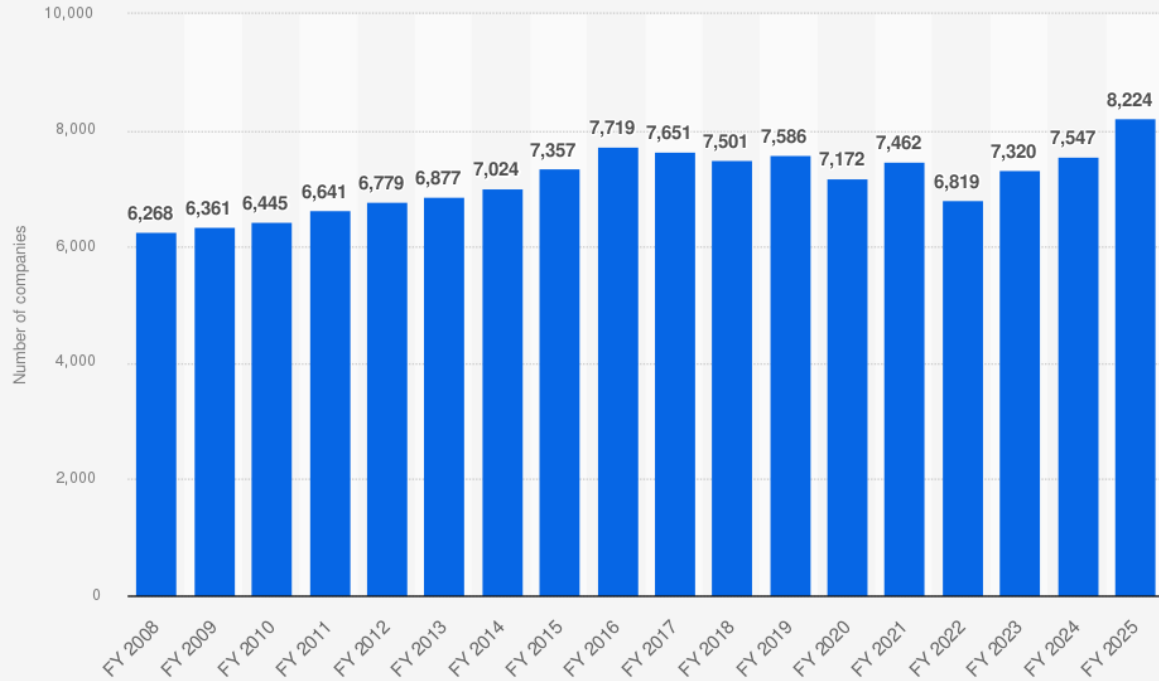


Sources

Department for Promotion of Industry and Internal Trade (India); Department for Promotion of Industry and Internal Trade (India);
Trade (India); Department of Commerce (India); Department of Commerce (India); 2016 to 2026
The Economic Times
© Statista 2026

Additional Information:

Number of companies listed in NSE and BSE across India from financial year 2008 to 2025



Source
India Brand Equity Foundation
© Statista 2026

Additional Information:
India; FY 2008 to FY 2025

Financial Markets as Information Processing Machines



Informational Role

Markets aggregate dispersed information from millions of participants into a single price signal. Without prices, capital allocation becomes impossibly inefficient.

Adani Group Crisis (2023): Hindenburg's short-seller report caused a ₹12 lakh crore market cap erosion in days — demonstrating how quickly new information re-prices assets.



Consumption Timing

People earn and consume at different life stages. Capital markets bridge this gap — allowing savings today to fund consumption tomorrow (retirement, education, healthcare).

India SIP Boom: Monthly SIP inflows hit ₹26,000 cr in 2024, demonstrating disciplined consumption timing by millions of middle-class investors.



Allocation of Risk

Different investors have different risk appetites. Markets allow risk to be transferred to those best positioned to bear it — not eliminated, but redistributed.

Retail Options Explosion: NSE sees 30–40 million options contracts daily, yet most retail buyers treat derivatives as lottery tickets rather than hedging instruments.



Separation of Ownership & Management

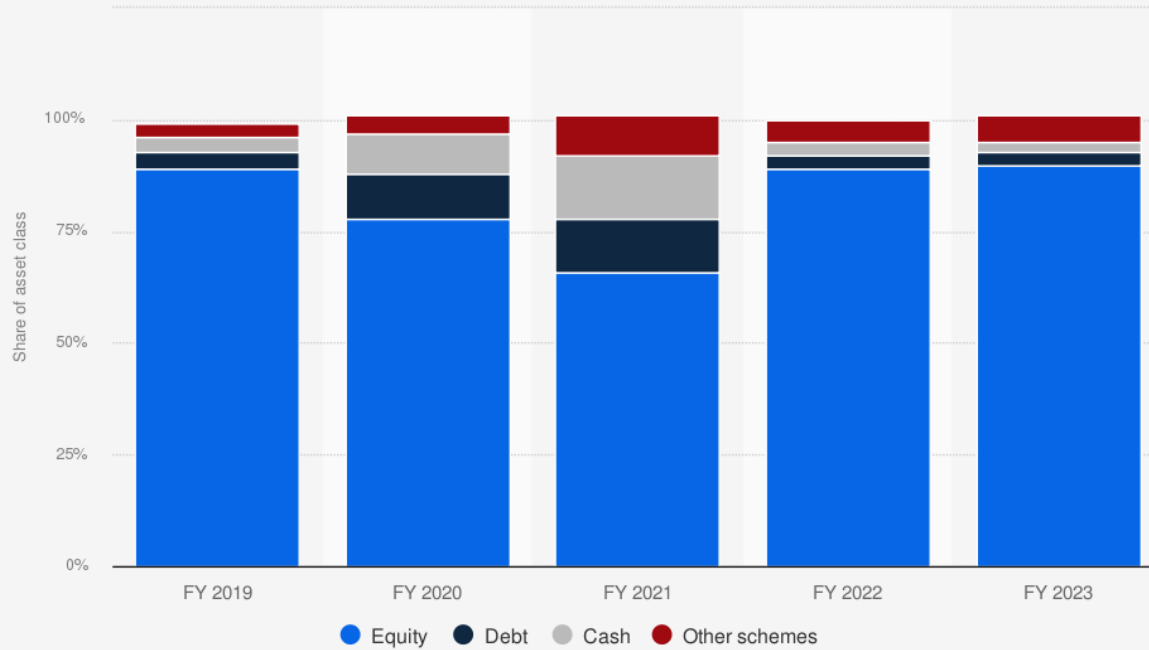
Modern firms are too large for owner-operators. Capital markets enable professional management while allowing millions to share in corporate growth.

Satyam Scandal (2009): Ramalinga Raju falsified ₹7,136 cr in cash — a textbook agency conflict where management priorities diverged catastrophically from shareholder interests.



Key Question: Are markets predicting the future — or creating it?

Distribution of asset class preference by millennials for first investment in India from financial year 2019 to 2023



Sources

Computer Age Management Services;
Confederation of Indian Industry
© Statista 2026

Additional Information:

India; Computer Age Management Services; Confederation of Indian Industry; FY 2019 to FY 2023

How Professional Investors Actually Invest

Why do two investors with identical wealth build completely different portfolios?

INVESTMENT OBJECTIVES

Wealth Creation

Growth-oriented: equities, real assets

Income Generation

Cash-flow focus: bonds, REITs, dividends

Capital Preservation

Low volatility: FDs, G-Secs, liquid funds

Tax Efficiency

ELSS, HUF structures, indexation benefits

INVESTMENT CONSTRAINTS

Liquidity

Redemption timelines; lock-in restrictions

Time Horizon

Short-term needs vs. long-term compounding

Taxes & Regulations

LTCG, STT, SEBI norms shape decisions

Behavioral Limits

Psychology often overrides strategy

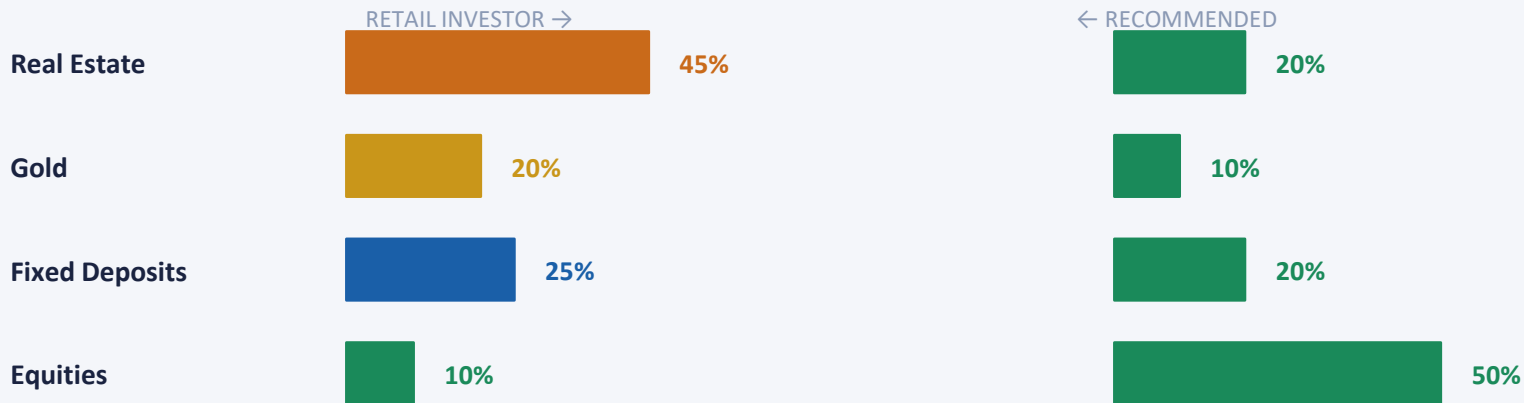
💡 *COVID Crash (March 2020): Nifty fell 38% in 40 days. Investors who panic-sold violated every stated constraint — proving most portfolios are constrained more by psychology than finance.*

Asset Allocation: The Biggest Decision in Investing

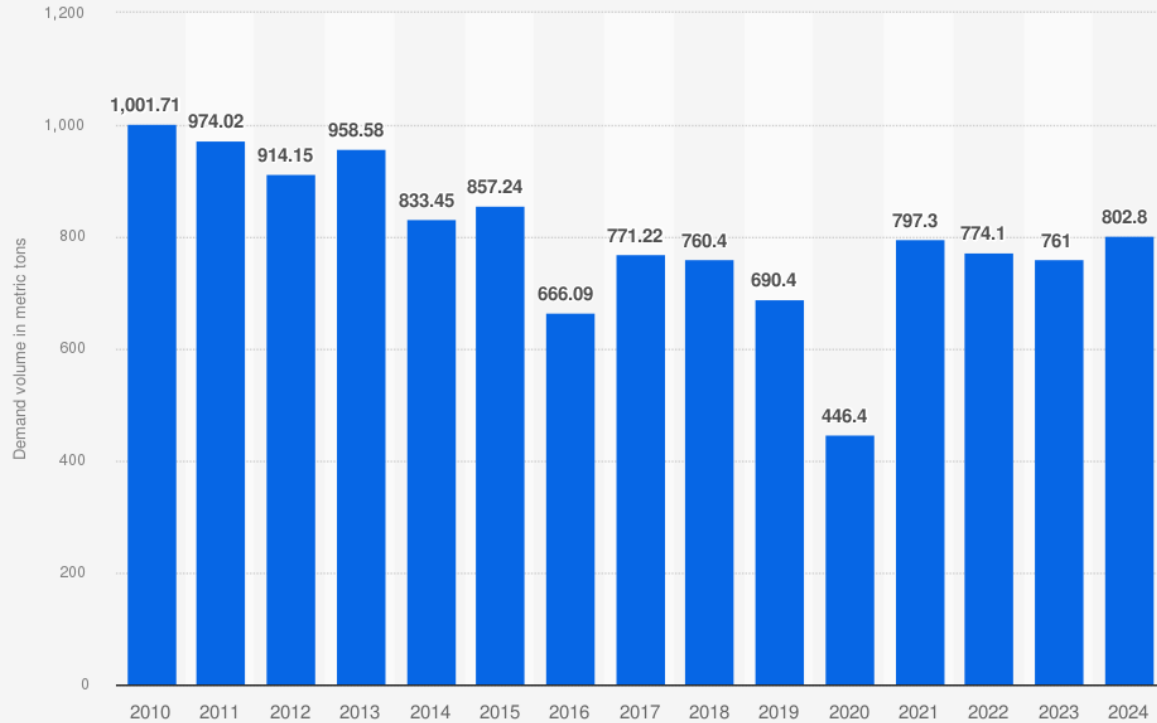
~90%

of long-term portfolio variation is explained by asset allocation — not stock picking.
(Brinson, Hood & Beebower, 1986 & 1991 — landmark studies in portfolio attribution)

TYPICAL INDIAN RETAIL INVESTOR vs. RECOMMENDED ALLOCATION



Annual demand volume of gold across India from 2010 to 2024 (in metric tons)



Sources

World Gold Council; The New Indian Express
© Statista 2026

Additional Information:

India; World Gold Council; 2010 to 2024

Investor Life Cycle: Portfolios Must Evolve



Early Career

Age: 22–35

Human Capital:

Very High

Financial Capital:

Low

Aggressive equity exposure, build emergency fund, start SIPs

Rule of Thumb: Hold $(100 - \text{Age})\%$ in equities



Mid Career

Age: 35–50

Human Capital:

Moderate

Financial Capital:

Growing

Accumulation phase. Balance equities with bonds. Tax planning. Life insurance.

*Maximize EPFO, NPS, ELSS.
Consider direct equity + MF blend.*



Pre-Retirement

Age: 50–60

Human Capital:

Declining

Financial Capital:

Peak

Begin de-risking. Shift toward capital preservation. Build income-generating assets.

Reduce small cap/mid cap exposure. Increase debt allocation progressively.



Retirement

Age: 60+

Human Capital:

Minimal

Financial Capital:

Stable→Declining

Cash flow over capital gains. SCSS, PMVVY, annuities, and balanced funds.

Critical Error: 60-year-olds holding speculative small caps face sequencing risk.

Security Selection: Top-Down vs Bottom-Up

TOP-DOWN APPROACH

 Global & Macro Analysis



 Sector / Industry Selection



 Company Selection

Example: Ray Dalio's Bridgewater

Dalio's All-Weather Portfolio starts with macro regime analysis — inflation, growth — before touching individual securities. AUM: \$150bn+.

VS

BOTTOM-UP APPROACH

 Deep Company Analysis



 Industry Context Check



 Macro As Background

Example: Warren Buffett / Berkshire Hathaway

Buffett famously ignores macro forecasts. He focuses on durable competitive advantages, owner earnings, and management quality. Berkshire's CAGR ~19.8% (1965–2023).

Can Investors Beat the Market?

Risk-Return Tradeoff

Higher expected return comes with higher volatility — but never as a guarantee. The risk premium must be earned.

 **Nifty Small Cap 250: +80% in 2023 → -20% in 2024-25**

Past return chasing is the #1 investor mistake.

 **Why do investors chase past returns despite knowing the risk?**

Efficient Market Hypothesis

In an efficient market, prices reflect all available information. Consistently beating the market requires either superior information or superior analysis.

 **Meme Stocks (2021): GameStop rose 1,700% in 3 weeks driven by Reddit's r/WallStreetBets before collapsing.**

Social media vs market efficiency — who wins?

 **Can social media defeat market efficiency?**

Active vs Passive

Over long periods, most active managers fail to beat their benchmarks after fees. But passive investing creates a free-rider problem.

 **SPIVA India 2023: 73% of large-cap active funds underperformed Nifty 100 over 5 years.**

Vanguard's passive revolution vs hedge fund alpha.

 **If passive investing wins, who does price discovery?**

Theory vs. Practice

Topic	Textbook Says	Professionals Do	Why Different
Asset Allocation	Strategic, set-and-forget	Dynamic — rebalanced as macro shifts	Markets and regimes change constantly
Diversification	Maximize diversification to minimize risk	Concentrated bets + broad diversification	Alpha comes from conviction, not spread
Efficient Markets	Hard to beat on a consistent basis	Seek niche, structural inefficiencies	Incentives reward finding edges
Risk Definition	Volatility / Standard Deviation	Permanent capital loss, not temp. fluctuation	Buffett: 'Risk is not knowing what you're doing'
Security Selection	Analyze fundamentals alone	Data + sentiment + macro + behavioral signals	Complexity of real markets demands multi-lens



The gap between textbook and practice is where investment skill — and most investment disasters — live.

Concepts in Action: Six Case Studies

Warren Buffett

Bottom-Up Investing

Berkshire Hathaway's ~19.8% CAGR since 1965. Focus: durable competitive moats, owner earnings, management quality — macro is ignored.

 berkshirehathaway.com/letters

Ray Dalio

Risk Allocation

All-Weather Portfolio balances across 4 economic regimes (inflation/deflation × growth/recession). True diversification of risk, not just assets.

 principles.com/all-weather

BlackRock

Asset Allocation at Scale

World's largest asset manager (\$10 trillion AUM) is built on portfolio construction and risk analytics, not security selection alone.

 blackrock.com/aladdin

COVID Crash 2020

Behavior vs Models

Nifty fell 38% in 40 days (Jan–Mar 2020). Investors who panic-sold locked in losses; those who held or bought recovered 80%+ within 6 months.

 nseindia.com/market-data

India SIP Boom

Consumption Timing & Discipline

Monthly SIP inflows reached ₹26,000+ crore in 2024 (AMFI data). Systematic investing removes behavioral bias and leverages rupee cost averaging.

 amfiindia.com/statistics

Adani Crisis 2023

Market Efficiency & Information

Hindenburg Research's short-seller report wiped out ₹12 lakh crore in 2 weeks. Demonstrated how new information instantly reprices risk.

 sebi.gov.in

Portfolio Management in the Real World

Is investing a science, an art, or a probabilistic game?

01

Define IPS

Investment Policy Statement: objectives, constraints, risk tolerance, time horizon, tax situation

02

Asset Allocation



Strategic allocation across equities, bonds, real assets, alternatives based on IPS

03

Security Selection



Top-down or bottom-up selection of specific securities within each asset class

04

Execution

Trade implementation with cost minimization, tax efficiency, timing considerations

05

Monitoring



Ongoing performance attribution, risk measurement, drift analysis vs benchmark

06

Rebalancing



Periodic or threshold-based portfolio rebalancing to maintain target allocation

25 Thought-Provoking Questions

Markets	Investors & Behavior	Risk & Return	Portfolio Strategy	The Big Picture
Q1. Are markets mirrors of reality or creators of reality?	Q6. Why do intelligent investors make irrational decisions?	Q11. Is diversification overrated?	Q16. Is asset allocation more important than stock selection?	Q21. Does information create wealth?
Q2. Can stock prices predict economic growth?	Q7. Why do most investors underperform the market?	Q12. Is volatility really risk?	Q17. Are mutual fund managers overpaid?	Q22. Are retail investors at a structural disadvantage?
Q3. Should governments intervene in markets?	Q8. Can behavioral biases be eliminated?	Q13. Can risk ever be eliminated?	Q18. Is passive investing becoming too dominant?	Q23. Can too much diversification destroy wealth?
Q4. Why do bubbles repeatedly occur?	Q9. Why do investors ignore their own plans?	Q14. Should young investors use leverage?	Q19. Can AI outperform human investors?	Q24. Why do investors chase trends?
Q5. Are markets efficient during crises?	Q10. Why do investors fear temporary losses?	Q15. Is risk objective or subjective?	Q20. Can ESG investing outperform?	Q25. What is the biggest threat to success: markets or behavior?

Three Big Ideas

01

Markets allocate capital, information, and risk

Without financial markets, the entire modern economy's resource allocation mechanism collapses. Prices are signals, not just numbers.

02

Asset allocation & behavior dominate outcomes

Research shows ~90% of portfolio variation traces to asset allocation. And most failures trace to behavioral mistakes — not market movements.

03

Alpha is possible — but rare and shrinking

Markets are competitive. Information advantages erode fast. Durable edge comes from process, temperament, and rare structural insights.

Final Question: If investing were easy, why do most investors underperform despite having access to the same information?

Questions & Answers

Q

Is risk equal to volatility?

- Not necessarily. Buffett defines risk as permanent loss of capital, not short-term price swings. A stock that temporarily drops 30% and recovers is less risky than one that drops 30% permanently.

Q

Why don't all investors choose equities?

- Risk capacity (financial ability to absorb loss) and risk tolerance (psychological comfort) differ widely. A retiree with monthly withdrawal needs cannot afford to wait for equity markets to recover.

Q

Can markets remain inefficient for long periods?

- Yes. Keynes: 'Markets can remain irrational longer than you can remain solvent.' Structural barriers, information asymmetry, and liquidity constraints sustain inefficiencies.

Q

Why do active managers still exist?

- Because investors seek alpha, some inefficiencies persist in specific niches (small cap, emerging markets), and fund managers serve other functions beyond returns (risk management, liquidity).

Q

Is diversification always beneficial?

- Diversification reduces unsystematic risk, but excessive diversification 'diworsification' (Peter Lynch) dilutes returns from high-conviction positions